

STOCK UPDATE

Result Update - Q4FY2026

SECTOR

Building material

COMPANY DETAILS

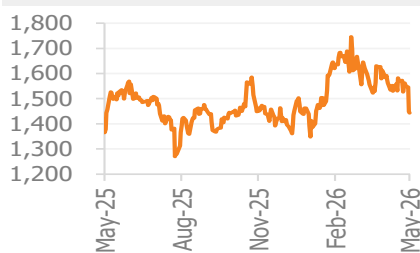
Market cap:	Rs. 38,766 cr
52-week high/low:	Rs. 1,768/1,263
NSE volume: (No of shares)	6.7 lakh
BSE code:	532830
NSE code:	ASTRAL
Free float: (No of shares)	12.30 cr

Source: NSE, BSE, Mirae Asset Sharekhan Research

SHAREHOLDING (%)

Promoters	54
DII	21
FII	15
Others	10

Source: NSE, BSE, Mirae Asset Sharekhan Research

PRICE CHART


Source: NSE, BSE, Mirae Asset Sharekhan Research

PRICE PERFORMANCE

(%)	1m	3m	6m	12m
Absolute	-9.3	-11.8	-1.3	5.7
Relative to Sensex	-5.2	-2.7	10.7	12.9

Source: Mirae Asset Sharekhan Research, Bloomberg

Reco/View: **BUY**

CMP: **Rs. 1,443**

Price Target: **Rs. 1,850**
Quick Snapshot

- Revenue/EBITDA/PAT missed expectations by 12.3%/16.2%/23.1%, on weak demand.
- CPVC backward integration is expected to begin trials around December, with benefits likely flowing in by FY28, which will boost margins.
- Management guided for a 10-15% growth in piping volumes/ 20-25% value growth and margins of 16-18%. Similarly, Adhesive India eyes a 15-20% revenue growth, while a 25-30% growth is eyed in paints, with positive EBITDA expected.
- We maintain a Buy with an unchanged PT of Rs. 1,850, on rising polymer prices and improving demand outlook.

Result overview

- Consolidated revenue rose 24.2% y-o-y to Rs. 2,088.5 crore, while EBITDA rose 26.8% y-o-y to Rs. 382.9 crore, while margin expanded by 38 bps y-o-y to 18.3% in Q4FY26.
- Piping volumes increased 24.2% y-o-y to 84,041 MT, while realisations remained flat y-o-y but improved 5% q-o-q. The paints and adhesives business recorded healthy growth of 22% y-o-y to Rs. 554 crore.
- On CPVC backward integration, 40,000 MT begin trials around December. which can replace around 50-60% of current CPVC resin/compound requirements with a phase II expansion of 100,000 tonnes at a relatively lower incremental capex. The company believes this will be a game changer and boost margins and the market share, full benefits expected from FY28.
- India adhesives business is expected to scale meaningfully, while the UK business is recovering after operational challenges. The company now wants to grow the India adhesives business to ~Rs 2,000 crore as fast as possible, in 3-4 years
- Paints platform is now more stable and targets around Rs 1,000 crore revenue in paints over 3-4 years. It delivered a ~23% growth for FY26 and expects more than a 25% growth in FY27 while bathware to grow 25-30% CAGR for the foreseeable future because the base is still small.

Our Call

We project consolidated revenue, operating profit, and net profit CAGR of 15%, 18%, and 30% respectively over FY2026–FY2028E. The stock trades at 49.9x/42.9x its FY2027E/ FY2028E earnings. With strong growth visibility, improving product mix, and operating leverage from recent capacity additions, we maintain our Buy rating with a PT of Rs. 1,850.

Key Risks

Profitability is vulnerable to the volatile fluctuations in raw material (polymer) prices.

Valuation

	Rs cr			
Particulars	FY25	FY26	FY27E	FY28E
Revenue	5,832	6,569	7,774	8,725
OPM (%)	16.2	16.2	16.7	17.0
Adjusted PAT	524	537	778	905
y-o-y growth (%)	(4.1)	2.4	45.1	16.3
Adjusted EPS (Rs.)	19	20	29	34
P/E (x)	74.1	72.3	49.9	42.9
P/B (x)	10.7	9.6	8.1	6.8
EV/EBITDA (x)	40.5	35.8	28.7	25.3
RoNW (%)	15.4	14.0	17.6	17.2
RoCE (%)	20.1	19.6	22.9	22.6

Source: Company; Mirae Asset Sharekhan estimates

Note: CMP as on May 20, 2026

Concall highlights

- Management quantified the CPVC backward-integration capex as ~Rs. 120 crore for Phase 1 (~40,000 MT), with Phase 2 (the next ~40,000 MT, scaling toward ~1 lakh MT) requiring only ~₹40–50 crore — since land, utilities, connectivity and all approvals are already in place, leaving only an additional shed plus balance equipment (a ~9-month build).
- The UK business delivered around 22.9% growth in the latest quarter and moved from negative EBITDA margin to ~6.5%. Management expects double-digit growth in FY27
- Q4 inventory gain was at ~Rs 6 crore, because CPVC prices did not move much and only PVC had some gains.
- Management mentioned raw material cost pressure is being passed through to the market. Margins remain stable, except for one-time brand spending such as the Rs 16 crore campaign.
- For piping, management guided for a conservative EBITDA margin of 16-18%, though analysts suggest margins could move higher with value growth and CPVC backward integration. Management says they prefer conservative guidance because polymer volatility remains high.
- After three years of falling polymer prices, the cycle has turned and polymer are now rising. Management expects polymer prices to go up 8–10% in FY27, which helps convert ~8% volume growth into an ~18% revenue growth. This reverses the earlier problem where volumes grew but revenue stayed flat. Prices will stay volatile but are biased upward, with the removal of a temporary ~8% duty around July 1, pushing prices higher. Two CPVC price hikes have already been taken.
- For piping industry, the management expects the piping industry to grow at 8% in FY27.

Results

Particulars	Rs cr				
	Q4FY26	Q4FY25	y-o-y (%)	Q3FY26	q-o-q (%)
Revenue	2,088.5	1,681.4	24.2	1,541.5	35.5
EBITDA	382.9	301.9	26.8	237.3	61.4
Other Income	17.3	8.8	96.6	9.5	82.1
Depreciation	74.0	64.8	14.2	73.4	0.8
Finance Cost	23.5	9.6	144.8	12.6	86.5
PBT	296.6	236.4	25.5	144.3	105.5
Tax Expenses	83.6	58.3	43.4	36.6	128.4
PAT	213.0	178.1	19.6	107.7	97.8
Adj PAT	219.1	179.3	22.2	124.2	76.4
EPS (Rs)	8.1	6.7	22.2	4.6	76.4
Margin (%)			BPS		BPS
EBITDA Margin	18.3	18.0	38	15.4	294
PAT Margin	10.2	10.6	(39)	7.0	321
Tax Rate	28.2	24.7	352	25.4	282

Source: Company; Mirae Asset Sharekhan Research

Additional Data

Top 10 shareholders

Sr. No.	Holder Name	Holding (%)
1	Engineer Sandeep Pravinbhai	31.57
2	Saumya Polymers LLP	8.54
3	Engineer Jagruti Sandeep	7.56
4	Life Insurance Corp of India	6.79
5	Kairav Chemicals Ltd	6.55
6	Blackrock Inc	2.15
7	SBI Funds Management Ltd	2.04
8	UTI Asset Management Co Ltd	2.04
9	Vanguard Group Inc/The	2.01
10	Tree Line Asia Master Fund	1.34

Source: Bloomberg

Key management personnel

Name	Designation
Sandeep Pravinbhai Engineer	Chairman/ Managing Director
Jagruti Sandeep Engineer	Whole-Time Director
Hiranand A. Savlani	Chief Financial Officer

Source: Company Website

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